Eicher Motors

EICHERMOT

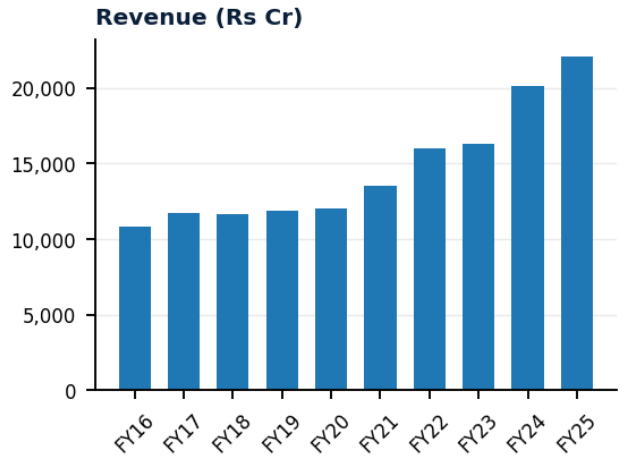
Sector: Automobiles

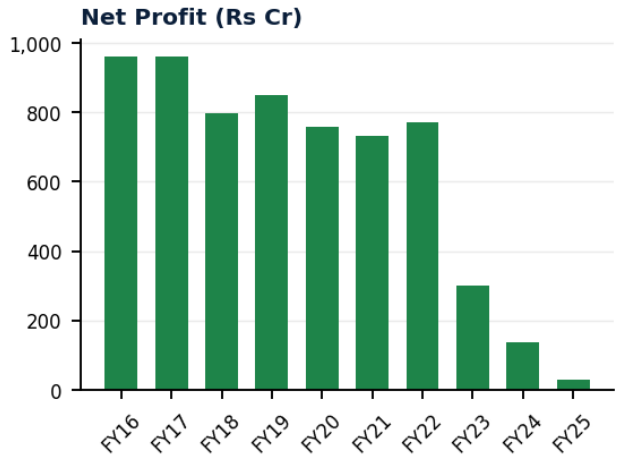
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
22,099	30	3.8%

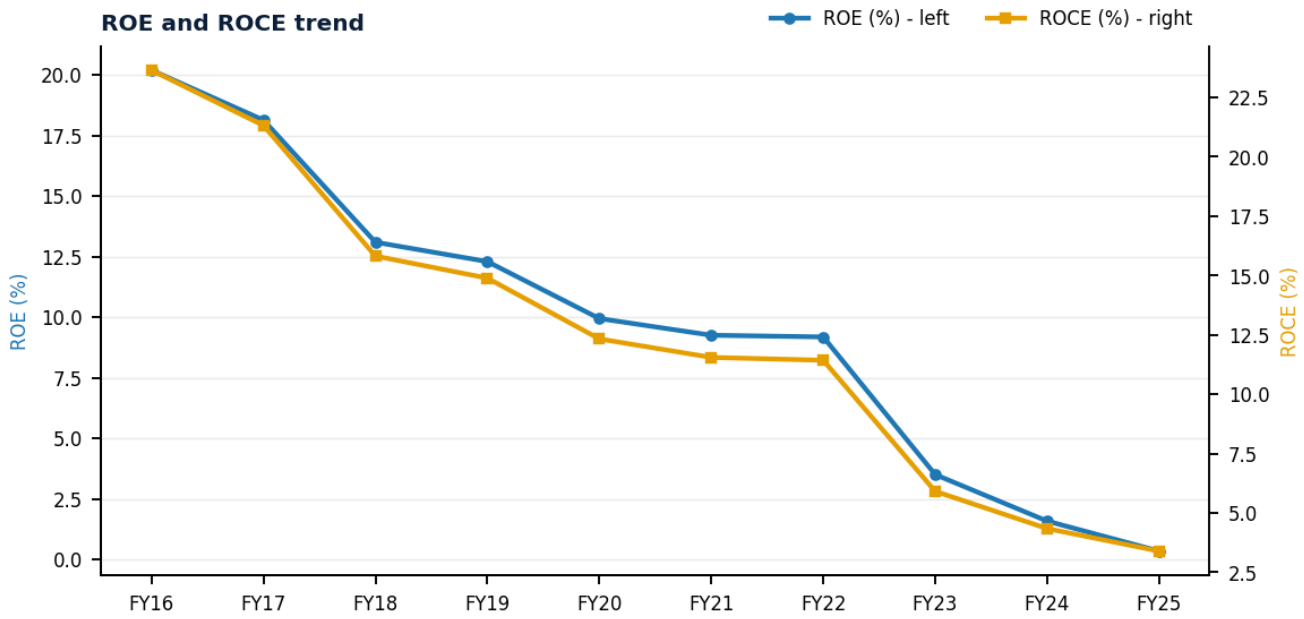
ROE (%)	ROCE (%)	Debt / Equity (x)
0.3%	3.4%	0.52x

10-year Revenue and Net Profit

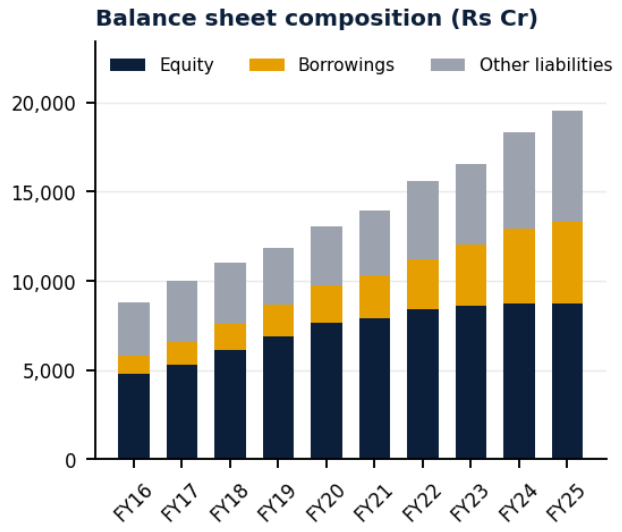


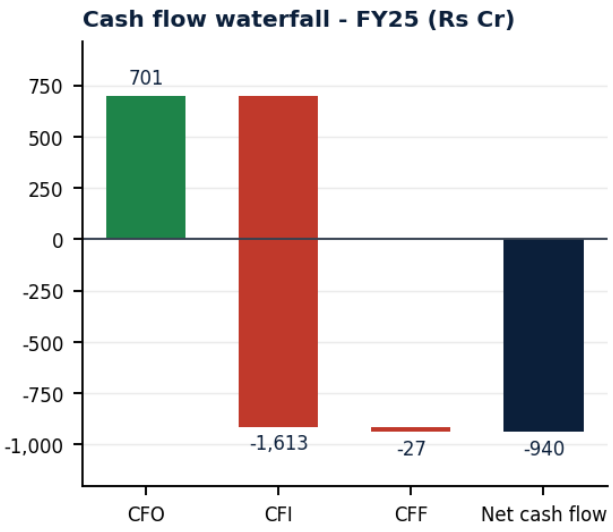


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- 5-year revenue CAGR of 12.9% is above the sector median of 12.9% (61%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (100%)
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (88%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (86%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (84%)
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (76%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (65%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (7.07)	**Moderate (7.3%)**	**No**	**No**